

run. Some have criticized the implementation of diversification through mean-variance utility, which assumes correlations between asset classes are constant when in fact correlations tend to increase during bad times.¹⁵ Factor exposures can and do vary through time, giving rise to time-varying correlations—all the more reason to understand the true factor drivers of risk premiums.

¹⁵ Models of portfolio choice with time-varying correlations are developed by Ang and Bekaert (2002, 2004), for example. Chua, Kritzman, and Page (2009) provide an analysis of increasing correlations during the financial crisis.